
INTRODUCTION TO BUSINESS



*Trade, Enterprise and Organisation,
with Cases from Bangladesh*

A TEXTBOOK FOR FIRST-YEAR STUDENTS

BIJOY?!



INTRODUCTION TO BUSINESS

BIJOY?!

First edition, in British spelling. Amounts are in Bangladeshi taka (Tk). Laws are summarised in plain words as they stood when the text was written; laws and rules change, so readers should consult the current text of any Act before relying on it.

The running business, Padma Bakery, and its owners are *illustrative*: they are invented to show ideas at work and are not a real firm. Historical cases are real, but each is told in brief.

Plate engravings shown are placeholders, to be replaced by public-domain plates before printing. Set in Libre Caslon Text and IM Fell English.

FURTHER READING

Smith, Adam (1776). *An Inquiry into the Nature and Causes of the Wealth of Nations*. Book I, Chapter 1, on the division of labour.

Ricardo, David (1817). *On the Principles of Political Economy and Taxation*. The chapter on foreign trade, which sets out comparative advantage.

Friedman, Milton (1970). "The Social Responsibility of Business Is to Increase Its Profits." *The New York Times Magazine*, 13 September.

Carroll, Archie B. (1991). "The Pyramid of Corporate Social Responsibility." *Business Horizons*, 34(4).

The Partnership Act, 1932 (Act IX of 1932), Bangladesh.

The Companies Act, 1994 (Act XVIII of 1994), Bangladesh.

The Cooperative Societies Act, 2001, Bangladesh.

The Securities and Exchange Commission Act, 1993, Bangladesh.

International Cooperative Alliance. *Statement on the Co-operative Identity* (1995).

Salomon v A Salomon & Co Ltd, House of Lords (1896).

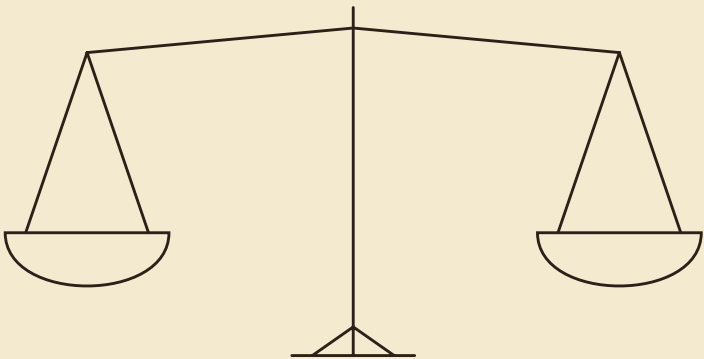


Plate I. [An engraving will be placed here.]

CHAPTER I

The Nature of Business

Is every sale a business, and who decides?



This chapter explains what a business is, how its parts are named, and what it aims to achieve. It ends with the qualities that help a business to last.

GLOSSARY

Aids to trade. Services that help goods move from maker to buyer, such as banking. Ch. I, p. 7

Articles of association. The document of internal rules for managing the company. Ch. V, p. 27

Balance of payments. A record of all money flowing into and out of a country in a period. Ch. VII, p. 36

Balance of trade. The difference between the value of a country's goods exported and goods imported. Ch. VII, p. 36

Bangladesh Securities and Exchange Commission. The state regulator of the share market, set up in 1993. Ch. VIII, p. 43

Bill of lading. A receipt for goods shipped, which also acts as proof of ownership. Ch. VII, p. 37

Business. An activity that provides goods or services to customers to earn a profit. Ch. I, p. 6

Business combination. The joining of separate businesses into a single group or firm. Ch. IX, p. 46

Business environment. All the forces, inside and outside a business, that affect how it works. Ch. III, p. 16

Capital. Man-made goods, such as machines and tools, that are used to produce other goods. Ch. II, p. 12

Cartel. An agreement among firms to fix prices or share markets while staying separate. Ch. IX, p. 46

Charter party. A contract hiring a whole ship, or part of it, for a voyage. Ch. VII, p. 37

Commerce. Trade together with the services that help trade happen. Ch. I, p. 7

Comparative advantage. The ability to make something at a lower opportunity cost than others. Ch. VII, p. 36

Cooperative society. A business owned and run by its members to serve their common needs, not to earn profit for outsiders. Ch. VI, p. 32

Customer. A person or firm that pays for goods or services. Ch. I, p. 6

Directors. People elected by shareholders to manage the company. Ch. V, p. 26

Dissolution. The ending of a partnership, so that the firm no longer exists. Ch. IV, p. 22

Dividend. The share of profit paid to shareholders. Ch. V, p. 28

Division of labour. Splitting a job into parts, with each worker doing one part. Ch. II, p. 12

E-commerce. Buying and selling through the internet or other electronic networks. Ch. I, p. 7

Entrepreneur. A person who organises production and takes the risk of loss. Ch. II, p. 13

Export processing zone. An area where firms making goods for export enjoy special tax and service benefits. Ch. VIII, p. 43

Exports. Goods or services sold to another country. Ch. VII, p. 36

Factors of production. The resources used to make goods and services: land, labour, capital and organisation. Ch. II, p. 12

FBCCI. The Federation of Bangladesh Chambers of Commerce and Industry, the main body of business chambers. Ch. VIII, p. 43

Firm. The partners taken together. Ch. IV, p. 21

Foreign trade. Buying and selling of goods and services between people in different countries. Ch. VII, p. 36

Goods. Things you can touch and keep, such as a cake or a chair. Ch. I, p. 6

HCN. A host country national: an employee from the country where the branch operates. Ch. VII, p. 38

Holding company. A company that owns enough shares in other companies to control them. Ch. IX, p. 46

Home country. The country where a multinational has its headquarters. Ch. VII, p. 38

Host countries. The countries in which a multinational runs operations away from its home. Ch. VII, p. 38

Imports. Goods or services bought from another country. Ch. VII, p. 36

Industry. All activities that produce or change goods, or extract them from nature. Ch. I, p. 7

Initial public offering. The first sale of a company's shares to the public, called IPO for short. Ch. VIII, p. 42

Interest. The payment made for the use of borrowed money or capital. Ch. II, p. 13

Joint stock company. A business whose capital is divided into shares and owned by shareholders. Ch. V, p. 26

Labour. The physical and mental work of people in production. Ch. II, p. 12

Land. All natural resources, including soil, water, minerals and the space a building stands on. Ch. II, p. 12

Legal personality. The status of being treated by law as a person separate from the owners. Ch. V, p. 26

Letter of credit. A bank's promise to pay the seller if the agreed documents are shown. Ch. VII, p. 37

Limited liability. A shareholder's duty to pay company debts only up to the unpaid value of his or her shares. Ch. V, p. 26

Location. The place where a business sets up its premises. Ch. II, p. 13

Memorandum of association. The document stating a company's name, office, objects, liability and capital. Ch. V, p. 27

Merger. The joining of one firm into another, so that only one remains. Ch. IX, p. 46

Multinational corporation. A large firm that owns and runs business operations in more than one country. Ch. VII, p. 38

Objective. A goal that a business tries to reach. Ch. I, p. 8

Ordinary share. A share whose holder votes and receives a dividend that depends on profit. Ch. VIII, p. 42

Partners. The individual owners of a partnership. Ch. IV, p. 21

Partnership. A business owned by two or more people who agree to run it together and share its profits. Ch. IV, p. 21

Exceptions: some bodies sell but do not seek profit.

Three words that students often confuse.

Industry. All activities that produce or change goods, or extract them from nature.

Trade. The buying and selling of goods.

Commerce. Trade together with the services that help trade happen.

Commerce is trade plus its helpers.

Aids to trade. Services that help goods move from maker to buyer, such as banking.

Trade may be local, or between countries.

Wholesale. Selling goods in large amounts to other businesses.

Retail. Selling goods in small amounts to the final user.

Selling over the internet is commerce too.

E-commerce. Buying and selling through the internet or other electronic networks.

There are exceptions. A school sells education, and a charity may sell goods, yet neither aims at profit for its owners. Such bodies are *not-for-profit*. They use business methods but not the profit aim. A hospital may do both: charge fees and treat some patients free.

You should now be able to say: a business sells goods or services, regularly, to earn profit, and it accepts risk.

INDUSTRY, COMMERCE AND TRADE

Three words are often mixed up. Each has its own meaning. **Industry** means the activities that produce goods or take them from nature, such as farming, mining and making cakes. **Trade** means buying and selling goods. **Commerce** means trade together with all the services that help trade to happen.

TABLE 1. INDUSTRY, TRADE AND COMMERCE COMPARED

Word	What it does	Example
Industry	Produces or extracts goods	Baking cakes in an oven
Trade	Buys and sells goods	Selling cakes to a shop
Commerce	Trade plus its helpers	Selling, banking, transport

The helpers have a name: **aids to trade**. These include banking, insurance, transport, warehousing, advertising and communication. A bank lends money to Salma; a van delivers her cakes; an advertisement tells customers where to find them. None of these makes a cake, but without them selling becomes slow and costly.

Trade has two main kinds. *Home trade* takes place within one country. It may be **wholesale**, which means selling in large amounts to other businesses, or **retail**, which means selling in small amounts to the final user. *Foreign trade* crosses a national border; Chapter VII treats it.

The internet has added a newer form. **E-commerce** means buying and selling through electronic networks. A customer orders a cake on a phone, pays through a mobile wallet, and the cake arrives by rider. Nothing about the idea is new. Only the place of meeting has changed, from a shop to a screen.

The *scope* of business, then, covers all of this: industry that makes goods, trade that sells them, and the aids that connect the two, including newer electronic means. Industry itself has branches. Extractive industry takes goods from nature, as mining and fishing do. Manufacturing changes materials into finished goods. Construction

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3. State one gain and one threat of combination.

includes the aids. Another mistake is to say that profit is the only objective. It is the first, not the only.

IN HISTORY. In 1776 Adam Smith described a small pin workshop. One worker alone might make hardly one pin a day, he wrote, but ten workers dividing the tasks could make many thousands. The story showed why businesses organise work into specialised parts, an idea Chapter II uses.

SOURCES

Smith (1776), Book I, Chapter 1.

REVIEW QUESTIONS

1. What are the five features of a business?
2. Explain the difference between trade and commerce.
3. Name the four groups of business objectives.

THE PUZZLE OF THE RIVAL SHOP

Across the road from Padma Bakery stands Mirpur Sweets. Each shop pays rent, buys flour, and competes for the same customers. If they joined, rent could be shared, flour bought in bulk, and price wars ended. Customers, though, might pay more. Why do firms combine, and should the public welcome it?

WHY AND HOW FIRMS COMBINE

A **business combination** means the joining of separate businesses so that they act together or as one. Firms combine for several reasons. They want to cut costs by sharing and by buying in bulk. They want to reduce competition. They wish to be sure of raw materials or of outlets for their goods. They want larger markets, stronger funds, and a way to spread risk.

Combinations are grouped by direction. A *horizontal* combination joins firms at the same stage, such as two bakeries. A *vertical* combination joins firms at different stages of one chain, such as a flour mill and a bakery. A *conglomerate* joins firms in unrelated lines of business.

Combinations take several forms. A **cartel**, also called a pool, is an agreement among independent firms to fix prices or divide markets. A **trust** is a combination in which owners hand control to a single board. A **holding company** owns enough shares in other companies, called its subsidiaries, to control them. A **merger** joins one firm into another, so that only one remains; in an *amalgamation* two or more firms join to form a new one.

A combination links independent businesses.

Business combination. The joining of separate businesses into a single group or firm.

Three directions of joining.

Four common forms.

Cartel. An agreement among firms to fix prices or share markets while staying separate.

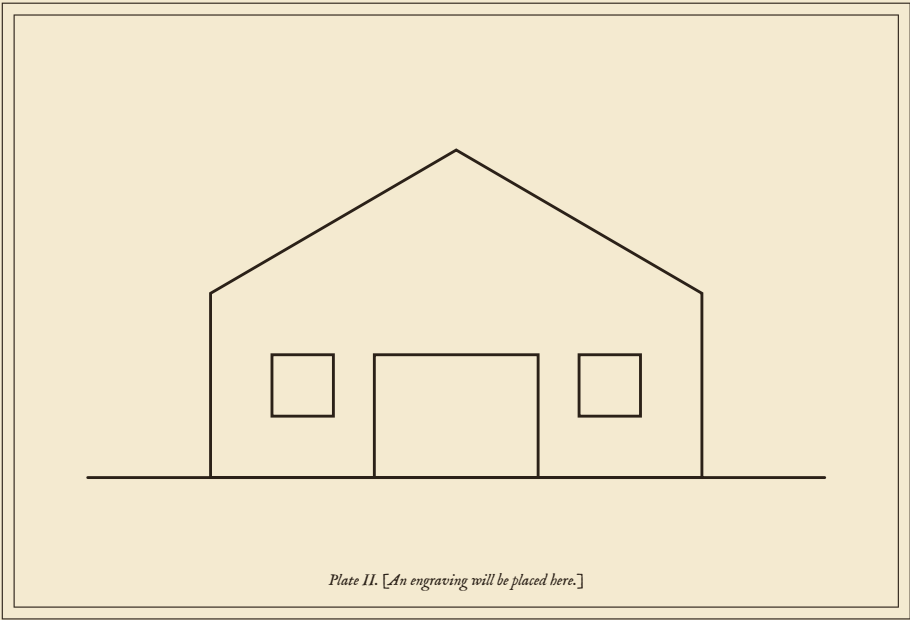
Trust. A combination in which firms hand control to a board that runs them as one.

Holding company. A company that owns enough shares in other companies to control them.

Merger. The joining of one firm into another, so that only one remains.

TABLE 6. FORMS OF COMBINATION COMPARED

Form	Firms remain separate?	Control
Cartel	Yes	Agreement only
Trust	Not in practice	One board
Holding company	Yes in law	Share ownership
Merger	No	One firm remains



CHAPTER II

Resources and Location

What must Salma gather before the first cake is sold, and where should she bake?

This chapter names the four resources every business needs, explains what each one earns, and sets out the factors that guide the choice of a business site.

SUMMARY

The share market has a primary part, where companies raise money, and a secondary part, where investors trade. An IPO is the first public offer. The BSEC regulates the market; the DSE runs trading; the FBCCI, EPB, EPZ authority and TCB each help a different part of business.

THINK IT THROUGH. A retired teacher wants steady income and fears losing her savings. Which kind of share might suit her better? What might she lose by choosing it?

WHERE PEOPLE GO WRONG. Students often think the company receives money whenever its shares are traded. It receives money only when it issues new shares. Another mistake is to assume that a high share price means a good company.

IN HISTORY. In 1602 the Dutch East India Company sold shares to the public, and soon people traded them on the Amsterdam exchange. It is often called the first company to have shares traded in this way, and it created the pattern on which exchanges later grew.

REVIEW QUESTIONS

1. What is an IPO, and who approves it in Bangladesh?
2. State three functions of the Dhaka Stock Exchange.
3. Distinguish ordinary from preference shares.

GO SLOWLY HERE.

Capital here means goods used to make goods.

Capital. Man-made goods, such as machines and tools, that are used to produce other goods.

Interest. The payment made for the use of borrowed money or capital.

The entrepreneur organises and takes the risk.

Entrepreneur. A person who organises production and takes the risk of loss.

Each factor can be hard to replace.

Location means the place where a business operates.

Location. The place where a business sets up its premises.

Distance to customers matters most for a shop.

Power, water, rent and rules also count.

Weigh all factors, and add up the costs.

tables and the tools used to make cakes. Money used to buy them is called *finance*. The reward for providing capital is **interest**.

The fourth factor is organisation. The person who brings the other three together, makes the decisions and bears the risk is the **entrepreneur**. Salma is the entrepreneur of Padma Bakery. The reward of the entrepreneur is profit (Chapter I), which may be large or may be a loss.

TABLE 2. THE FOUR FACTORS AND THEIR REWARDS

Factor	Meaning	Reward
Land	Natural resources and space	Rent
Labour	Human work	Wages
Capital	Tools, machines, buildings	Interest
Organisation	Planning and risk-taking	Profit

These factors have limits. Land cannot be moved, and good land is scarce. Skilled labour takes time to train. Capital wears out and must be replaced. An entrepreneur who is careless with one factor will find that the others cannot make up for it. This is why a business plan lists all four.

WHERE TO LOCATE

Location means the place where a business sets up its shop, office or factory. A poor site is costly to change, because moving means new rent, new fittings and lost customers. The choice therefore deserves care.

Several factors guide the choice. *Nearness to customers* matters most for a shop selling cakes, because cakes go stale and buyers will not travel far. *Nearness to raw materials* matters more for a mill or a mine, where the materials are heavy. *Labour* matters, since a site must offer workers with the right skills at fair wages. *Transport* matters, as roads, ports and railways carry goods in and out.

Other factors add to these. A bakery needs steady electricity and clean water. Rent and the price of land differ from place to place. Government rules may forbid certain businesses in certain areas, or offer lower taxes in others. Finally, the *climate*, the risk of flooding, and the safety of the area affect daily work.

No site is best on every count. The owner must weigh the factors and, where possible, add up the costs of each choice. The worked case shows how.

THE PUZZLE OF THE STRANGER'S MONEY

Padma Bakery now wishes to raise Tk 5,000,000 from the public. A stranger in Chattogram has savings and might buy shares, but how would she know the company is honest? And if she needed her money back next year, who would buy her shares? Two problems must be solved: trust, and the chance to sell. The institutions in this chapter exist to solve them.

THE SHARE MARKET

The **share market** is the market in which shares of companies are issued, bought and sold. It has two parts. In the *primary market*, a company sells new shares to investors for the first time and receives the money. In the *secondary market*, investors sell shares to each other, and the company receives nothing. A person who buys shares hopes for dividends and for a rise in the share's price.

The word *stock* has two meanings, and finance uses the second. In a shop, stock means the goods held for sale. In the share market, it means the shares of companies, so *stock market* and *share market* mean the same place.

When a company first offers its shares to the public, the offer is an **initial public offering**, known as an IPO. The company publishes a prospectus (Chapter V), and the regulator must approve the offer. Investors apply for shares, and if applications exceed the shares offered, the shares are shared out by a set rule. After the IPO, the shares are listed on an exchange so that they can be traded.

Shares are of two main types. An **ordinary share** gives a vote and a dividend that rises and falls with profit. A **preference share** receives a fixed dividend before ordinary shareholders, but usually has no vote. Which is best for an investor? It depends on the aim. An investor who wants steady income and lower risk may prefer preference shares. An investor who accepts more risk for possible growth may prefer ordinary shares.

THE DHAKA STOCK EXCHANGE

A **stock exchange** is an organised market in which listed shares are traded under set rules. Dhaka Stock Exchange (DSE) began in 1954. Its functions are these. It provides a fair, orderly place for trading. It lists companies that meet its rules. It publishes prices so that all can see them. It gives investors the chance to sell, so that savers are willing to invest. It supervises its member brokers and settles trades. It thus supports companies in raising capital.

The share market is where shares are bought and sold.

Share market. The market where shares of companies are issued, bought and sold.

WORD IN USE.

Stock. Daily life: goods held for sale. Finance: shares of a company.

An IPO is a company's first public offer of shares.

Initial public offering. The first sale of a company's shares to the public, called IPO for short.

Two types of share, with different aims.

Ordinary share. A share whose holder votes and receives a dividend that depends on profit.

Preference share. A share that receives its fixed dividend before ordinary shares.

An exchange is the organised place for trading.

Stock exchange. An organised market where listed shares are bought and sold under set rules.

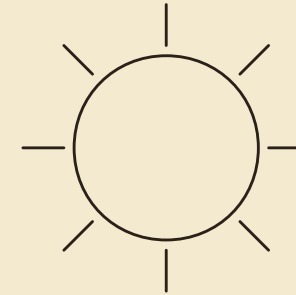


Plate III. [An engraving will be placed here.]

CHAPTER III

The Business and Its World

Can a shop ignore the street, the law and the neighbours?



This chapter explains the forces inside and outside a business, and then asks what a business owes to the people it touches, from workers to investors.

GO SLOWLY HERE.

A stakeholder is anyone affected by the business.

Stakeholder. Any person or group affected by what a business does.

Customers: safe goods and honest prices.

Workers: fair pay and safe work.

Supplier. A person or firm that sells materials or goods to a business.

How to tell a responsible business.

Milton Friedman held that profit is the duty.

Economic and social aims can support each other.

workers, customers, suppliers, lenders and the local community. The duties of a business differ for each group.

To *customers*, the business owes safe goods, true weights, honest advertising and fair prices. A baker who uses banned colouring harms customers who cannot see the danger.

To *workers*, it owes fair wages, safe conditions and respect. To *suppliers*, a **supplier**, it owes prompt payment and fair dealing. A late payer may ruin a small flour merchant. To *investors*, who put in money, it owes honest accounts and fair use of their funds. To the *community*, it owes clean surroundings and care for the environment.

How can we recognise a responsible business? Look for signs: honest records, safe workplaces, fair pay, goods that match their descriptions, and care for waste and pollution. Such firms keep promises even when no one is checking.

PROFIT AND DUTY TOGETHER

Not everyone agrees on how far duties extend. Milton Friedman (1970) argued that the one responsibility of a business is to raise its profits within the rules of the law. Others reply that a firm which harms its workers or its town will in time lose customers and trust. Their view is that responsibility protects profit in the long run.

The two aims often agree. Safe work reduces accidents, which saves money. Honest dealing keeps customers. Where they conflict, as when safety costs money today, the owner must choose, and the choice shows what the business values. Fair profit and fair dealing together are the usual answer.

A WORKED CASE

SITUATION. Flour for one cake costs Tk 30 at Tk 60 a kilogram, because a cake uses half a kilogram. The price of flour rises by one fifth. All other costs stay the same. Salma sells 20 cakes a week at Tk 400, with a cost of Tk 250 each before the rise.

QUESTION. What is the new weekly profit?

REASONING. One fifth of Tk 60 is Tk 12, so flour becomes Tk 72 a kilogram. Flour per cake is then half of Tk 72, which is Tk 36, a rise of Tk 6. Cost per cake becomes Tk 256. Profit per cake is Tk 400 less Tk 256, which is Tk 144. For 20 cakes, profit is Tk 2,880.

CONCLUSION. Weekly profit falls from Tk 3,000 to Tk 2,880, a fall of Tk 120.

CHECK. Extra cost is Tk 6 a cake. Twenty cakes times Tk 6 equals Tk 120, the same fall.

Governments tax, limit and support trade.

Tariff. A tax on imported goods.

Quota. A limit on the quantity of a good that may be imported.

Multinational corporation. A large firm that owns and runs business operations in more than one country.

Home country. The country where a multinational has its headquarters.

Host countries. The countries in which a multinational runs operations away from its home.

Staff come from three places.

PCN. A parent country national: an employee from the firm's home country.

HCN. A host country national: an employee from the country where the branch operates.

TCN. A third country national: an employee from a country that is neither home nor host.

What hosts gain.

What hosts may lose.

tion, formed in 1995, sets the rules by which its member countries trade and settles disputes between them.

THE FIRM IN MANY COUNTRIES

A **multinational corporation** (MNC) is a firm that owns and runs operations in more than one country. Its first base is its **home country**. The countries where it opens branches are **host countries**. Bangladesh is a host to many.

The firm's staff are grouped in three. A **PCN** comes from the home country, a **HCN** from the host country, and a **TCN** from some other country.

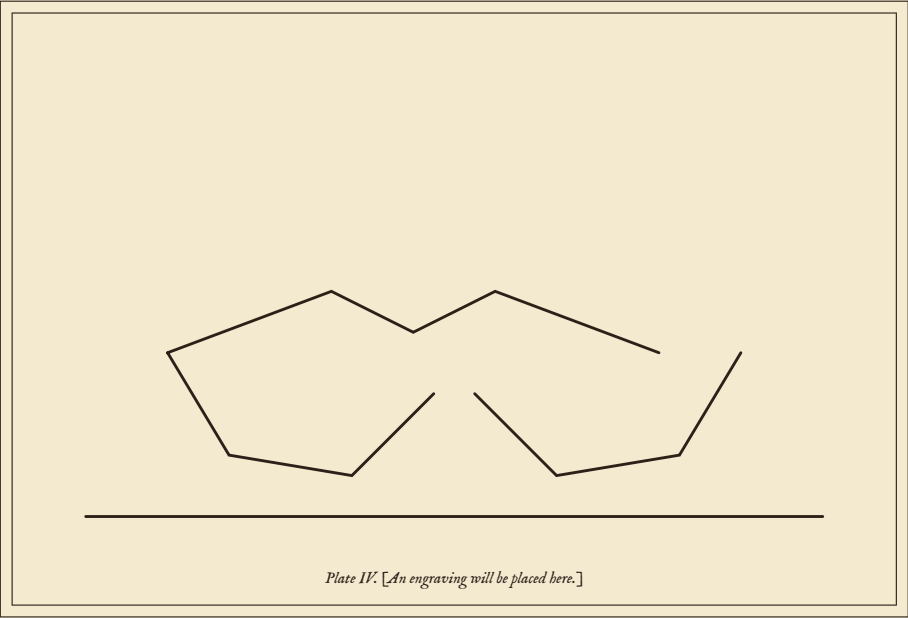
Host countries gain from MNCs. They bring capital, modern machines and skills. They create jobs, pay taxes, and open foreign markets for local products. Local firms learn new methods.

Host countries may also suffer. Profits may be sent abroad. Large MNCs may crowd out small local firms. Some MNCs pay low wages, harm the environment or influence politics. Technology may be kept within the parent firm. Whether the gain outweighs the loss depends on the host's laws and its ability to bargain.

A WORKED CASE

SITUATION. An illustrative country, in billions of dollars. Goods exports are 40 and goods imports are 52. Services earn 6 and cost 9. Workers abroad send home 22. Take the current account to be the sum of these items.

QUESTION. What are the balance of trade and the current account?



CHAPTER IV

The Owner and the Partner

Two people, one undertaking, and the question of who answers for what.



This chapter explains the oldest forms of ownership: the business of one person and the business of several. It sets out what each gains and risks, and how a partnership may end.

THE PUZZLE OF THE FOREIGN OVEN

Padma Bakery needs a larger oven. The best ones are built in another country. To buy one, Anwar must pay in foreign money, deal with a seller he has never met, and bring the machine through a customs office. At the same time, a bakery in another land might want to buy Bangladeshi jute bags. Why do people cross borders to trade, and how is it done safely?

WHY NATIONS TRADE

No country has everything.

Foreign trade. Buying and selling of goods and services between people in different countries.

Exports. Goods or services sold to another country.

Imports. Goods or services bought from another country.

GO SLOWLY HERE.

Each country should make what costs least to give up.

Comparative advantage. The ability to make something at a lower opportunity cost than others.

Trade brings foreign money, jobs and choice.

Foreign trade means buying and selling across national borders. Goods sold to another country are **exports**. Goods bought from another country are **imports**. Nations trade first because they differ: in climate, soil, minerals, skills and machines.

A deeper reason was given by David Ricardo (1817). A country gains by making what it makes at the lowest *opportunity cost*, and buying the rest, even if it could make everything. Suppose that in a day a baker can make 40 loaves or mend 4 ovens, while a mechanic can make 10 loaves or mend 5 ovens. The mechanic is better at mending, and the baker is better at loaves compared with mending. Each should specialise, then trade. This is **comparative advantage**.

Foreign trade matters for several reasons. Exports earn foreign money, which pays for needed imports. Export industries create jobs. Imports bring goods that the country cannot make, and bring new machines and ideas. Competition from abroad pushes local firms to improve, and larger markets allow large-scale production.

MEASURING TRADE BETWEEN NATIONS

Nations measure their trade in two ways. The **balance of trade** means the difference between the value of goods exported and goods imported. If exports are larger, the balance is a surplus; if imports are larger, a deficit. The **balance of payments** is wider. It records *all* payments between a country and the rest of the world in a period: goods, services such as shipping and tourism, transfers such

Law calls it a partnership when people agree to share profit.

Partnership. A business owned by two or more people who agree to run it together and share its profits.

Partners. The individual owners of a partnership.

Firm. The partners taken together.

A partnership begins with agreement, not family or ownership.

The deed is the written agreement.

Partnership deed. The written agreement setting out each partner's rights and duties.

An illustrative case, not a real firm.

Unless agreed otherwise, partners share equally.

GO SLOWLY HERE.

Debts fall on all partners, without limit.

The law gives the name **partnership** to such an arrangement. The people are the **partners**, and together they are the **firm**.¹ In Bangladesh, the Partnership Act of 1932 governs the matter.²

The Act says that a partnership arises from agreement, and not from status. Brothers who inherit a shop are not partners for that reason alone; they become partners if they agree to run it together for profit. More than twenty persons (ten for banking) cannot form a partnership. Beyond that number, the law requires them to form a company.

THE PARTNERSHIP DEED

The agreement may be spoken, but a written one is wiser. Such a document is a **partnership deed**. It records each partner's contribution, the share of profit, the duties, and what happens when a partner leaves. Without it, every disagreement is settled from memory, and memory is a poor witness.

Case file, illustrative. Anwar contributes the oven and Tk 300,000. Salma contributes Tk 100,000, her recipes and her customers. They agree to divide profit equally, because each believes the other's part is worth the same. Whether that is fair is a question the worked case below tests.

SHARING PROFIT, LOSS AND DEBT

Unless the deed says otherwise, the law treats partners as sharing profit and loss equally, whatever each has put in.

There is a second duty, and beginners often overlook it. Each partner is responsible, without limit, for the debts of the firm, and each can be made to pay all of them. If the firm cannot pay, its creditors may look to the personal property of any partner, and not only to what that partner invested. This is unlimited liability again, and it is the heaviest risk of partnership.

The law also adds *implied duties*, which apply even if no one writes them down. Partners must deal with each other in utmost good faith. They must give true accounts, work for the common benefit, and not make a secret profit from the firm's business. They

¹ The firm is not a legal person apart from its partners. Chapter V shows how a company differs.

² The Partnership Act, 1932 (Act IX of 1932), sections 4 and 5.

QUESTION. What does Padma save each month by buying through the society?

REASONING. The saving per bag is Tk 3,000 less Tk 2,850, which is Tk 150. For 20 bags the saving is 20 times Tk 150.

CONCLUSION. Padma saves Tk 3,000 a month, or Tk 36,000 in a year.

CHECK. Shop cost is 20 times Tk 3,000, which is Tk 60,000. Bulk cost is 20 times Tk 2,850, which is Tk 57,000. The difference is Tk 3,000, the same answer.

SUMMARY

A cooperative society is owned by its members, who each have one vote; its first aim is service. A state enterprise is owned by the government and takes three forms: departmental, public corporation and government company. Each has strengths and limits.

THINK IT THROUGH. A village has one doctor and no clinic. Should the clinic be a cooperative, a state enterprise or a private company? What would each choice cost and give?

WHERE PEOPLE GO WRONG. Students often say that a cooperative earns no profit. It earns a surplus, but returns it to members. Another mistake is to assume that state enterprises always lose money; some earn profit, and results differ widely.

IN HISTORY. In 1844 a group of 28 workers in Rochdale, England, many of them weavers, opened a small shop to sell pure goods at fair prices. They gave each member one vote and shared the surplus by purchases. Their rules became the model for cooperatives around the world. In Bangladesh, the Academy for Rural Development at Comilla, set up in 1959, later developed a two-tier cooperative scheme for villages.

SOURCES

The Cooperative Societies Act, 2001; International Cooperative Alliance (1995).

REVIEW QUESTIONS

1. State the principles on which a cooperative society is built.
2. Name the three forms of state enterprise.
3. Give two reasons for state enterprise.

A WORKED CASE

SITUATION. In its first year Padma Bakery makes a profit of Tk 240,000. Anwar contributed Tk 300,000 and Salma Tk 100,000. The deed says only that profit is shared equally.

QUESTION. What does each partner receive? What would each receive if profit followed capital?

REASONING. Equal sharing gives Tk 240,000 divided by 2, which is Tk 120,000 each. By capital, the ratio is 300,000 to 100,000, which is 3 to 1, making 4 parts. One part is Tk 60,000. Anwar receives 3 parts, Tk 180,000; Salma receives 1 part, Tk 60,000.

CONCLUSION. Under the deed, each partner receives Tk 120,000. Sharing by capital would give Anwar Tk 180,000 and Salma Tk 60,000.

CHECK. Tk 120,000 plus Tk 120,000, and Tk 180,000 plus Tk 60,000, each equal Tk 240,000. Equal sharing favours Salma, who gave her skills, and capital sharing favours Anwar, who gave money. The deed should say which is intended.

SUMMARY

A sole proprietorship has one owner who has full control and full risk. A partnership arises from an agreement among two or more persons to share profit; its deed records the terms. Partners have unlimited liability and implied duties. A partnership ends by agreement, notice, compulsion, contingency or court order.

THINK IT THROUGH. Two partners share profits equally, but one works full-time and the other only invests. Is that fair? What would you add to the deed?

WHERE PEOPLE GO WRONG. Students often think a sleeping partner is free of the firm's debts. The sleeping partner is liable too. Another mistake is to think that partners are always equal in profit; the law gives equality only when the deed is silent.

IN HISTORY. The rules on partnership in British India were once part of the Indian Contract Act of 1872. In 1932 they were taken out and made into a separate Act, because partnership had grown into a subject of its own. That Act still governs partnership in Bangladesh.

SOURCES

The Partnership Act, 1932.

REVIEW QUESTIONS

1. What does the law mean by a partnership, and what is its base?
2. Name three kinds of partner.
3. State two differences between a partnership and a sole proprietorship.

THE PUZZLE OF THE FLOUR BAG

Salma buys flour by the sack, and she pays the full shop price. So do nine other bakers in Mirpur. A merchant who sold to all ten at once could offer a lower price, but each baker alone is too small to ask for one. What if the ten bakers bought together, and shared the savings? This question leads to a form of business owned by those who use it.

THE COOPERATIVE SOCIETY

A **cooperative society** means a business formed by people who join voluntarily to meet a common need, and who own and control it together. Its first aim is service to its members. In Bangladesh, the Cooperative Societies Act of 2001 governs such societies, which must be registered with the Registrar of Cooperative Societies.

Cooperatives follow shared principles, set out by the International Cooperative Alliance (1995). Membership is *voluntary and open* to all who can use the service. Control is *democratic*: each member has one vote, whatever the shares held. Members contribute *capital* fairly and share the surplus. The society is *independent* of outside control. It provides *education* for members. Cooperatives *work together*. And they show *concern for the community*.

This differs sharply from a company. In a company, power follows shares: a person with more shares has more votes. In a cooperative, power follows people: one member has one vote. This rule keeps a rich member from ruling the poor.

A society works in this way. Members, who usually number at least a set minimum, apply for registration with a draft of rules called *by-laws*. Each member buys shares, and the liability of each is usually limited to the amount of the shares. A general meeting of all members elects a managing committee. The committee runs the society and answers to the members. At the year's end, the *surplus* is divided: a part goes to a reserve fund, a limited part is paid as a dividend on shares, and the rest is returned to members in proportion to their use of the society.

In Bangladesh, there are many types: *agricultural* societies that supply seeds and tools, *credit* societies that lend small sums, *consumers'* societies that sell goods at fair prices, *marketing* societies, *weavers'* and *fishermen's* societies, *housing* societies, and *dairy* societies.

The cooperative has a particular value in marketing farm produce. A single farmer who sells alone to a trader is often paid a low price. A society can collect the produce of many farmers, grade it, store it, and sell in bulk at a better price. It cuts out some middlemen, gives price information, and may lend money until the sale is made.

Cooperatives also have weaknesses. Members may lack business skill. Funds may be small. Poor management or political pressure

A cooperative is owned by its members for their own use.

Cooperative society. A business owned and run by its members to serve their common needs, not to earn profit for outsiders.

Seven principles guide cooperatives worldwide.

GO SLOWLY HERE.

One member, one vote: the key difference from a company.

How a society works, step by step.

Cooperatives come in many types.

Cooperatives help farmers sell their produce.

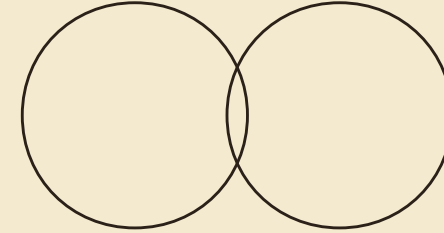


Plate V. [An engraving will be placed here.]

CHAPTER V

The Company

Can a business live on after its owners are gone?



This chapter explains the joint stock company: why it exists, how it is formed, and how private and public companies differ. It weighs its strengths against its weaknesses.

Two types, divided by size and by the public.

Private company. A company that limits the number of members and cannot invite the public to buy its shares.

Public company. A company that may invite the public to buy its shares and has no upper limit on members.

A private company suits a family firm.

Formation goes through four stages.

Two documents are filed at registration.

Memorandum of association. The document stating a company's name, office, objects, liability and capital.

Articles of association. The document of internal rules for managing the company.

A prospectus invites the public to invest.

Prospectus. A document inviting the public to buy a company's shares, with full details.

company needs at least seven members, may invite the public to subscribe, and allows free transfer of its shares.

TABLE 4. PRIVATE AND PUBLIC LIMITED COMPANIES COMPARED

Point	Private company	Public company
Members	2 to 50	At least 7, no limit
Shares	Transfer restricted	Freely transferable
Public invitation	Not allowed	Allowed, by prospectus
Start of business	After incorporation	Needs certificate of commencement
Size of capital	Usually smaller	Usually larger

A private company suits a family or a small group that wants limited liability yet wishes to stay in control. A public company suits a business that needs large sums from many people.

HOW A COMPANY IS FORMED

Forming a company follows stages. First comes *promotion*: someone has the idea, studies it and gathers the founders. Second comes *incorporation*, which means registration with the Registrar of Joint Stock Companies and Firms. Third, for a public company, comes the raising of capital. Fourth comes the start of business.

At registration two documents are essential. The **memorandum of association** states the company's name, its registered office, the objects for which it exists, the limit on its members' liability, and its capital. It fixes what the company may do. The **articles of association** set the internal rules: how directors are chosen, how meetings are held, and how profits are paid. In short, the memorandum is the charter and the articles are the rulebook. When the Registrar is satisfied, a *certificate of incorporation* is issued, and the company is born as a legal person.

A public company that wants money from the public issues a **prospectus**. It describes the company's name and objects, its directors, the capital, the number and price of shares offered, the money it must raise at minimum, how the money will be used, and the risks. Its purpose is honest information, so that investors know what they buy. A public company must also obtain a *certificate of commencement of business* before it begins to trade.

STRENGTHS AND WEAKNESSES

A company can raise large sums from many people. Limited liability lowers each investor's risk. It has a continuing life and can hire